

FISCAL POLICY



Definition

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The word ‘Fisc’ means state-treasury’

Heyne (2002) defines fiscal policy as:

“Fiscal policy, taking place within the scope of budgetary policy, refers to government policy that attempts to influence the direction of the economy through changes in government taxes, or through some spending (fiscal allowances).”

Definition

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Samuelson (2002) defines fiscal policy as:

“Fiscal policy is concerned with all those arrangements which are adopted by the government to collect the revenue and make the expenditures so that economic stability could be attained/ maintained without inflation/deflation.”

Fiscal Policy is???

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- It consists of set of policies relating to government budgeting. It includes policies governing the manner in which a government raises revenues to meet its current requirements and to finance economic development. It refers to adjustment in government revenue and expenditure to attain various macro economic goals.

Instruments

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- Government Expenditures
- Taxes
- Budget

Which can effect

- Aggregate demand
- The distribution of income
- Resource allocation in public and private sectors

Objectives of Fiscal Policy

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- Full employment
- Resource mobilization
- Resource allocation
- Economic stability
- Distribution of Income

Types of Fiscal Policy

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- ☐ Neutral
- ☐ Expansionary
- ☐ Contractionary

Types of Fiscal Policy

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- Discretionary Fiscal Policy is deliberate changes of government expenditures and/or taxes to achieve particular economic goals.
- Automatic Fiscal Policy is changes in government expenditures and/or taxes that occur automatically without (additional) congressional action.
-

Effects of Fiscal Policy

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□ **Classical View**

Crowding out and flexible prices and wages leads to no effect on output and employment

□ **Keynesian view**

According to Keynes (1936), “Government should engage in activist, discretionary, Countercyclical Policy to “fine-tune” and stabilize the economy over the business cycle (adapt a policy that runs counter to the change in aggregate demand (AD)). Run a budget deficit during a recession to stimulate (increase) AD. Run budget surplus during expansion to decrease AD.”

Effects of Fiscal Policy..continued

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□ **New Classical view**

- debt financing merely substitutes higher future taxes for lower current taxes, and thus,
- budget deficits affect the timing of taxes, but not their magnitude.
- when debt is substituted for taxes:
 - people save the increased income so they will be able to pay the higher future taxes, thus,
 - the budget deficit does not stimulate aggregate demand.

Effects of Fiscal Policy..continued

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- the real interest rate is unaffected by deficits as people save more in order to pay the higher future taxes.
- Further, they believe fiscal policy is completely ineffective – that it does not affect output, employment, or real interest rates.

□ **Monetarists View of Fiscal Policy**

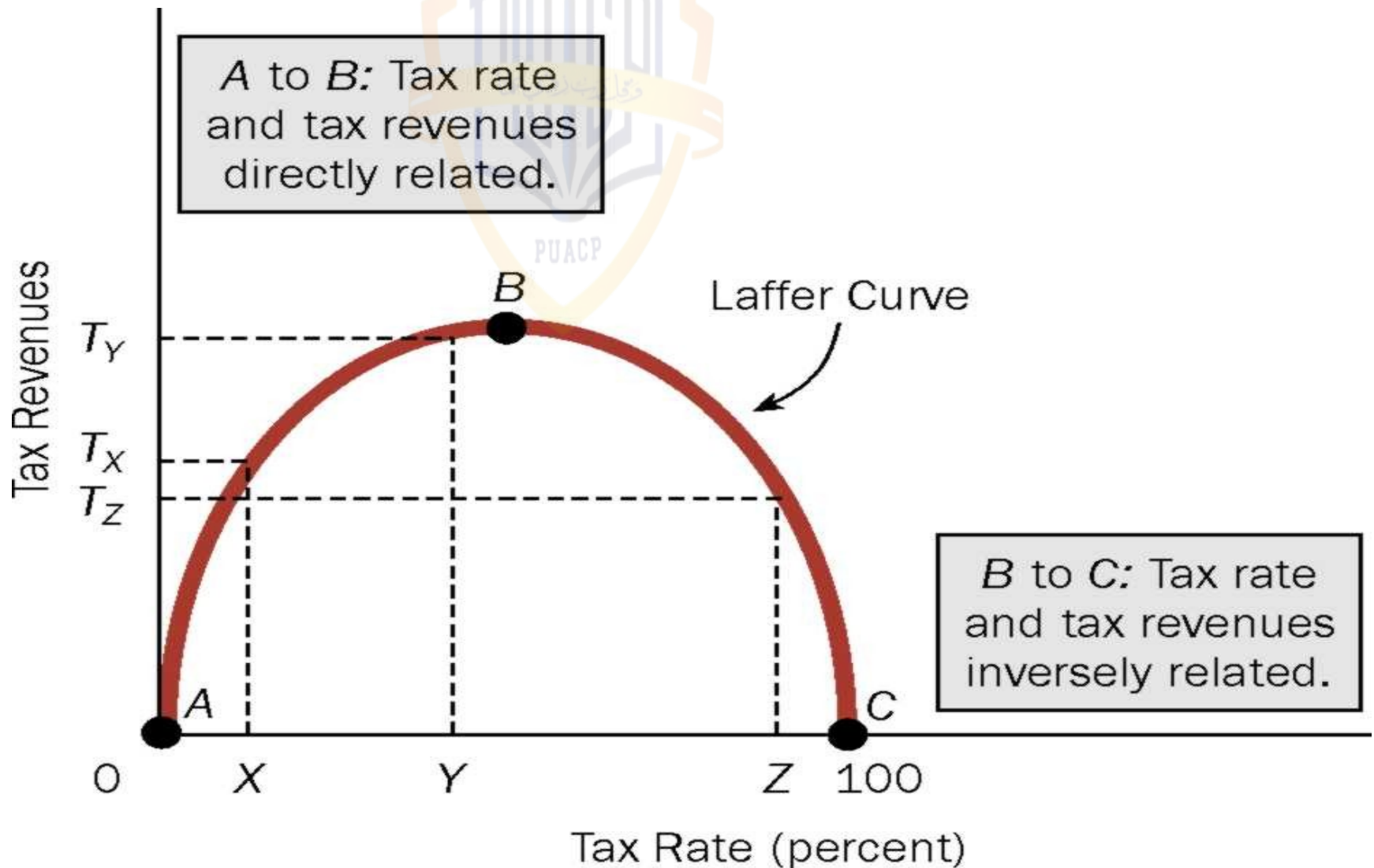
Fiscal policy has only a negligible effect, because new government spending does not raise injections ($I + G$) nearly as much as does even a small decline in interest rates. Because, government spending may *crowd out* investment.

Supply Side Effects of Fiscal Policy

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- **The Laffer Curve: Tax Rates and Tax Returns:**
If income tax rates were lowered, would it increase or decrease tax revenue?
- An increase in tax rates could cause tax revenues to increase.
- A decrease in tax rates could cause tax revenues to increase.
- Tax revenues = (Tax base) x (the average Tax rate)

Supply Side Effects of Fiscal Policy



Supply Side Effects of Fiscal Policy

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- It is assumed that as the tax rate reduces, the tax base expands. The rationale is that individuals work more, invest more, and enter into more exchanges, and shelter less income from taxes and lower tax rates.
- How much does the tax base expand following the tax rate reduction?
- Tax revenues increase if a tax reduction is made in the downward-sloping portion of the curve (between points B and C); tax revenues decrease following a tax rate reduction in the upward sloping portion of the curve (between points A and B).

Problem of Timing in Fiscal Policy

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- Proper timing of fiscal policy implementation is difficult because
 - Fiscal policy does not work instantaneously, and since dynamic forces are constantly influencing private demand, proper timing of fiscal policy is not an easy task. Since, it takes time to institute a legislative change. There is a time lag between when a change is instituted & when it exerts significant impact.

Recognition lag, Administrative lag and Operational lag

- Further, political incentives also influence fiscal policy. Public choice analysis indicates that legislators are delighted to spend money on programs that directly benefit their own constituents but are reluctant to raise taxes because they impose a visible cost on voters.

- There is a political bias towards spending and budget deficits. Predictably, deficits will be far more common than surpluses.
- One Solution is '*Discretionary Fiscal Policy*' but if not timely it can increase economic instability

Automatic Stabilizer

- Without any new legislative action, they tend to increase the budget deficit (or reduce the surplus) during a recession and increase the surplus (or reduce the deficit) during an economic boom.

Automatic Stabilizers

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- The major advantage of automatic stabilizers is that they institute counter-cyclical fiscal policy without the delays associated with legislative action.
- Examples of *automatic stabilizers*:
 - Unemployment compensation
 - Corporate profit tax
 - A *progressive* income tax

Budget

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- *Budget is the annual statement of the expenditures and revenues of the Federal Government with the laws and regulations that approve and support those expenditures and taxes.*

Major objectives:

- Finance activities of government
- Encourage economic growth and stability

Components of Government Budget

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- Revenue Budget
- Capital Budget.

Revenue Budget:

- Consists of revenue receipts of government and its expenditures
- Revenue receipts include tax and non-tax revenues
- Revenue expenditures includes payment for day to day running of the government and services it offers to citizens

Components of Government Budget

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Capital Budget:

- Consists of components which are of long-term nature. Capital receipts and payments
- Capital receipts include government loans raised from public, government borrowings from the central bank, treasury bills and loans received from foreign bodies and governments
- Capital expenditures includes expenditures on acquisition of assets like land, buildings, machinery and equipment

Fiscal Policy in Pakistan: Revenues

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Federal Government

Direct tax	Indirect taxes
Income tax	Sales tax
Corporation tax	Excise duty (production or manufacturer tax)
Wealth tax	Import duty
Property tax	Exports duty
Worker's Welfare tax	Gas, Petroleum surcharge
Capital value tax	Foreign travel tax

Fiscal Policy in Pakistan: Revenues

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Provincial Government

Direct tax	Indirect taxes
Land value tax	Stamp duty
Urban immovable property tax	Motor vehicle tax
Tax on transfer of property	Entertainment tax
Agriculture income tax	Excise duty
Capital gains tax	Electricity duty
Tax on professions, trades and callings	

Fiscal Policy in Pakistan: Revenues

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Non-Tax Revenues

Income from Property and enterprises

Trading

Interest and dividends

Receipts from civil administration

Fees and fines

5. RECEIPTS FROM CIVIL ADMINISTRATION AND OTHER FUNCTIONS

5.1 GENERAL ADMINISTRATION RECEIPTS

5.1.1 ORGANS OF STATE

5.1.1.1 These receipts are realized on account of fees from the candidates appearing in the examinations of Federal Public Service Commission and tuition fees charged by the Pakistan Forest Institute. The estimates of receipts on this account are given below:

Table 10

		(Rs. in Million)	
		2012-13 Budget	2012-13 Revised
			2013-14 Budget
C021	ORGANS OF STATE	35.000	343.000
	Federal Public Service Commission	35.000	38.000
	Exam Fee Educational Institutions (GB)	0.000	0.945
	Kashmir Affairs & Gilgit-Baltistan Division	0.000	304.055

5.1.2 FISCAL ADMINISTRATION

AUDIT FEES

5.1.2.1 The department of the Auditor General of Pakistan charges fees from autonomous bodies/ corporations etc, which do not fall within its normal audit jurisdiction, for auditing their accounts. This fee is deposited in the government account.

STATE BANK OF PAKISTAN'S RECEIPTS

5.1.2.2 The surplus profit of the State Bank of Pakistan, after making usual provision for reserve funds and payment of dividend, is transferred to the federal government. The State Bank also pays dividend on the share capital of the Federal Government. The value of coins that are minted and come in circulation in one year are also deposited by the State Bank in Government Account.

PAKISTAN MINT

Fiscal Policy in Pakistan: Revenue Expenditures

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□ Revenue Expenditures

General Administration, Defense, Law and Order, Community and Economic Services, Subsidies, Debt Servicing

□ Capital Expenditures

Expenditure for Agriculture, Water and Power, Education, Health, Transport and Communication, Development of Factories

NFC Awards

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- ❑ National Finance Commission Award is distribution of financial resources among provinces of Pakistan by the Federal Government on annual basis. Taxes are pooled and distributed among provinces. Taxes included in the pool are income tax, general sales tax, wealth tax,, capital gains tax and custom duties.
- ❑ NFC is constituted under article 160(1) of the 1973 constitution and proposed to be held at the interval of five years.

NFC Awards

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- The main charter of NFC is to recommend on the following:
 1. Distribution of specified taxes, duties between federation and provinces
 2. The disbursement of grants to provincial governments
 3. The borrowing powers exercised by federal and provincial governments
 4. Any other financial matter referred to commission

Chronology of NFC Awards

Award	Results
First (1974)	Conclusive
Second (1979)	Inconclusive
Third (1985)	Inconclusive
Fourth (1991)	Conclusive
Fifth (1995)	Inconclusive
(1997)	Conclusive
Sixth (2002)	Inconclusive
Seventh (2010)	Conclusive

Assigned Shares to provinces under NFC Awards (%)

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Province	1970	1974	1990	1997
Punjab	62	60	58	58
Sindh	22	23	23	23
KPK	14	13	14	14
Balochistan	4	4	5	5

Revenue Sharing Arrangements under Various NFC Award

(Provincial share in percentage)

Divisible Pool	Raisman 1951	NFC 1961-62	NFC 1964	NFC 1970	NFC 1974	NFC 1990	NFC 1997
Income Tax and Corporation Tax	50	50	65	80	80	80	37.5
Other Direct Taxes							37.5
Sales Tax	50	60	65	80	80	80	37.5
Excise Duty							37.5
• Tea	50	60	65	80	—	—	
• Tobacco	50	60	65	80	—	80	
• Sugar	—	—	—	—	—	80	
• Betelent	50	60	65	80	—	—	
Export Duties							37.5
• Cotton	—	100	65	80	80	80	
• Jute	62.5	100	65	80	—	—	
Import Duties							37.5
Estate/Succession Duties	—	100	—	100	—	—	37.5
Capital Value Tax on Immovable Properties	—	100	—	100	—	—	37.5
Petroleum Surcharge							100
Gas Development Surcharge							100
Divisible Pool Transfers as % of Federal Tax Revenue	12.8	23.1	2.7	53.4	29.8	35.3	37.3

Source: NFC Report.

TABLE 3
Revenue Sharing Formula under NFC Awards

Award	Tax	Sharing Criteria (Weight)
Raisman 1951	Sales Tax Income Tax and Excise Duties Export Duties	Collection (100%) Pre-assigned Shares (100%) Pre-assigned Shares (100%)
NFC 1961-62	Sales Tax	Collection (30%) Pre-assigned Shares (70%)
NFC 1964		
NFC 1970	Other Taxes	Pre-assigned Shares (100%)
NFC 1974	All Taxes	Population (100%)
NFC 1990		
NFC 1996		

7th NFC Award, December 2009

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The provincial share from pool increases from 47.5% to 56% and is divided amongst the provinces as per following percentage:

- Baluchistan 9.09%
- Punjab 51.74%
- KPK 14.62%
- Sindh 24.55%

The multiple indicators on which 7th NFC award is divided, weights:

- Poverty/backwardness 10.3%
- Revenue generation 5%
- Population density 2.7%
- Population 82%

Table 3

Inter-Province Distribution under Various NFC Awards (%)

Year	Federation:					Total
	Provinces	Punjab	Sindh	KPK	Balochistan	
1974	20:80	60.25	22.50	13.39	3.86	100
1979	20:80	57.97	23.34	13.39	5.30	100
1985	Interim award	Interim award	Interim award	Interim award	Interim award	—
1990	20:80	57.87	23.29	13.54	5.30	100
1996	62.5:37.5	57.88	23.28	13.54	5.30	100
2000 Not Awarded	Interim award	Interim award	Interim award	Interim award	Interim award	—
2006	45:55	56.07	25.67	13.14	5.13	100
2009	44:56 ⁺	51.74	24.55	14.62	9.09	100

+ The provincial share of the divisible pool would increase from 47.5 percent to 56 percent in the first year of NFC award FY 2010-10 and 57.5 percent in the remaining years of the Award

Budget 2015-16 at a glance

Budget

2015-16
at a glance

Resources

Expenditure



Net Revenue Receipts

Add: Tax revenue	3,418
Add: Non-tax revenue	895
Sub-total: Gross revenue receipts	4,313
Less: Provincial share	1,849

Current Expenditure

Interest payment	1,280
Defence	781
Grants & transfer	410
Running of civil govt.	328
Foreign loans repayment	316
Pension	231
Subsidies	138

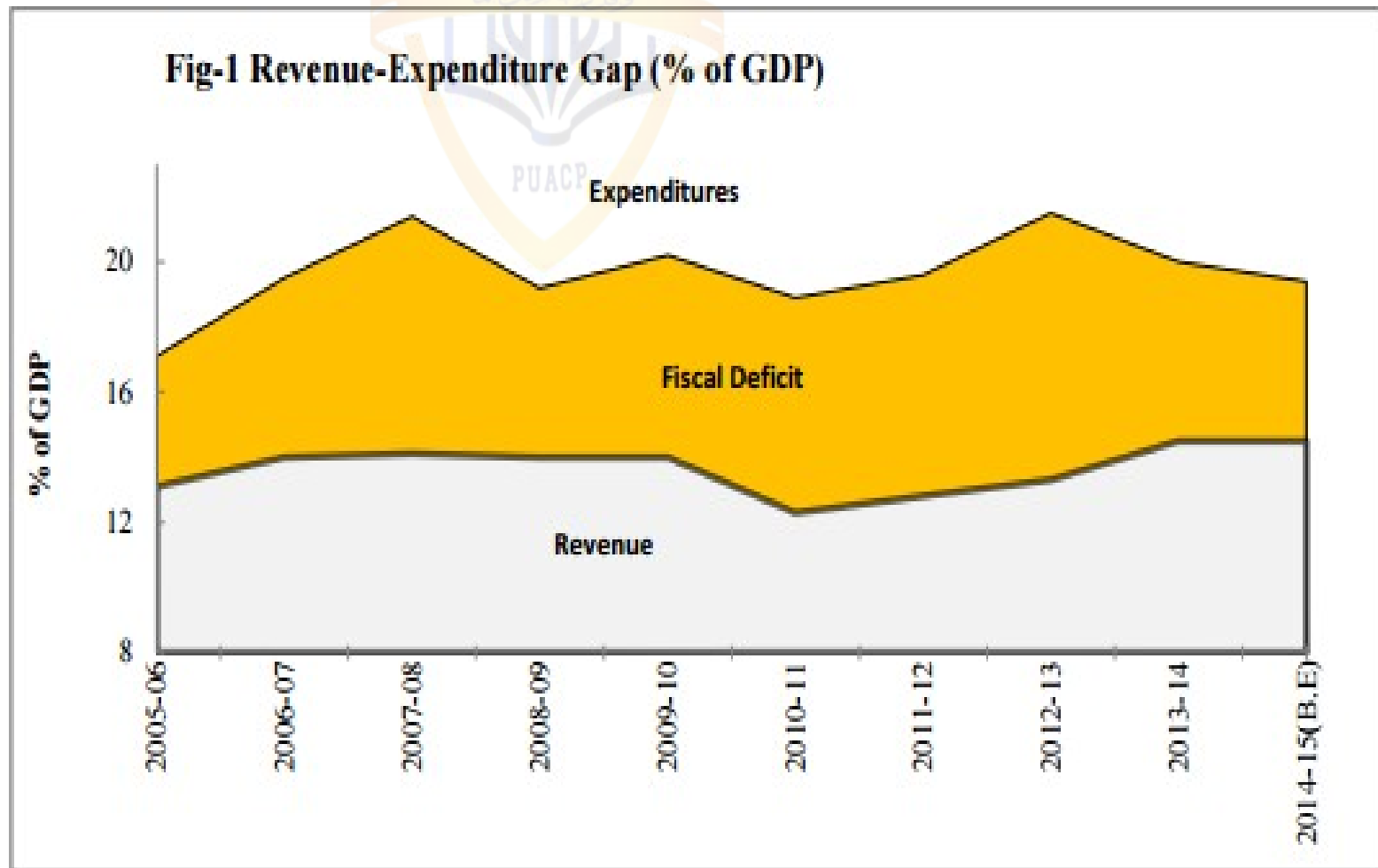
Rs. in Billion

Salient Features (Budget 2015-16)

The budget 2015-16 has the following salient features:

- The total outlay of budget 2015-16 is Rs 4,451.3 billion.
- The resource availability during 2015-16 has been estimated at Rs 4,168.3 billion
- The net revenue receipts for 2015-16 have been estimated at Rs 2,463.4 billion
- The provincial share in federal taxes is estimated at Rs 1,849.4 billion during 2015-16
- The net capital receipts for 2015-16 have been estimated at Rs 606.3 billion
- The external receipts in 2015-16 are estimated at Rs 751.5 billion.
- The overall expenditure during 2015-16 has been estimated at Rs 4,451.3 billion, out of which the current expenditure is Rs 3,482.2 billion and development expenditure is Rs 969 billion.
- The share of current and development expenditure respectively in total budgetary outlay for 2015-16 is 78.2% and 21.8%
- The expenditure on General Public Services is estimated at Rs 2,446.6 billion which is 70.3% of the current expenditure.
- The other development expenditure outside PSDP for 2015-16 has been estimated at Rs 164.4 billion.
- The size of Public Sector Development Program (PSDP) for 2015-16 is Rs 1,513.7 billion. Out of this, Rs 813.7 billion has been allocated to provinces. Federal PSDP has been estimated at Rs 700 billion, out of which Rs 252.6 billion to Federal Ministries / Divisions, Rs 271.9 billion to Corporations, Rs 20 billion to Pak Millennium Development Goals and Community Development Program (MDGs), Rs 28.5 billion to Special Federal Development Program, Rs 7 billion to Earthquake Reconstruction and Rehabilitation Authority (ERRA), Rs 100 billion for Special Development Program for Temporarily Displaced Persons (TDPs) and Security Enhancement and Rs 20 billion for Prime Minister's Youth Program.
- To meet expenditure, bank borrowing has been estimated for 2015-16 at Rs 282.9 billion

Pakistan's Budget Performance (% of GDP)



Fiscal Indicators as % of GDP

Table: 4.1 Fiscal Indicators as Percent of GDP

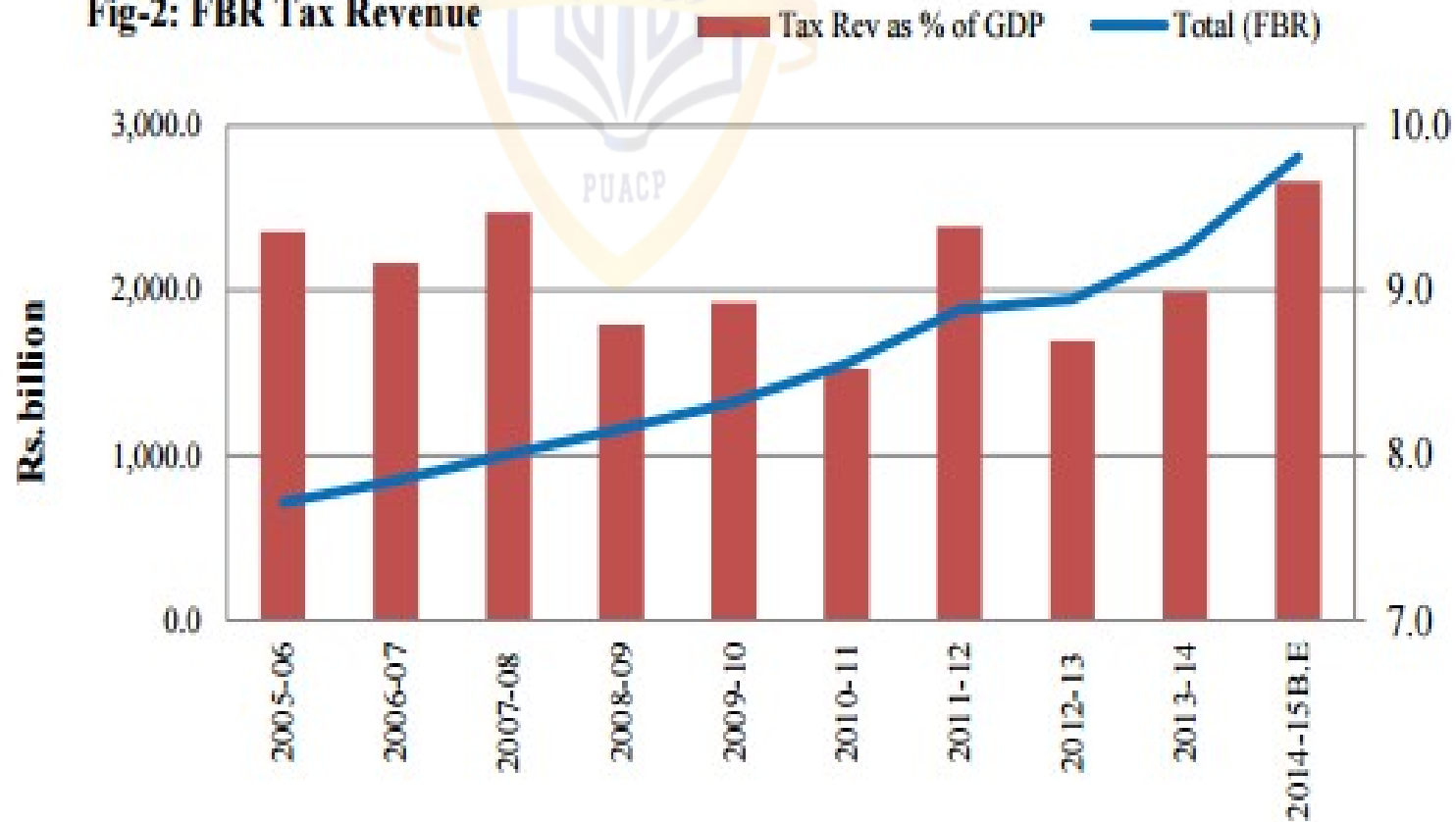
Year	Real GDP Growth	Overall Fiscal Deficit	Expenditure			Revenue		
			Total	Current	Development ¹	Total Rev.	Tax	Non-Tax
2005-06	5.8	4.0	17.1	12.6	4.5	13.1	9.8	3.3
2006-07	5.5	4.1	18.1	14.9	4.6	14.0	9.6	4.4
2007-08	5.0	7.3	21.4	17.4	4.0	14.1	9.9	4.2
2008-09	0.4	5.2	19.2	15.5	3.7	14.0	9.1	4.9
2009-10	2.6	6.2	20.2	16.0	4.4	14.0	9.9	4.1
2010-11	3.6	6.5	18.9	15.9	2.8	12.3	9.3	3.0
2011-12	3.8	6.8	19.6	15.6	3.7	12.8	10.2	2.6
2012-13	3.7	8.2	21.5	16.4	5.1	13.3	9.8	3.5
2013-14	4.0	5.5	20.0	16.0	4.9	14.5	10.2	4.3
2014-15 (B.E)	5.1	5.0	19.4	15.3	4.1	14.5	11.5	3.0

¹ including net lending

Note: Estimated growth during fiscal year 2014-15 is 4.24 percent.

Structure of Federal Tax Revenues

Fig-2: FBR Tax Revenue



Structure of Federal Tax Revenues

Table 4.2: Structure of Federal Tax Revenue

(Rs. Billion)

Year	Total (FBR)	Tax Rev as % of GDP	Direct Taxes	Indirect Taxes			
				Customs	Sales	Excise	Total
2001-02	404.1	9.2	142.5	47.8	166.6	47.2	261.6
			[35.3]	{18.3}	{63.7}	{18}	[64.7]
2002-03	460.6	9.6	151.9	68.8	195.1	44.8	308.7
			[33.0]	{22.3}	{63.2}	{14.5}	[67.0]
2003-04	520.9	9.2	165.1	91.0	219.2	45.6	355.8
			[31.7]	{25.6}	{61.6}	{12.8}	[68.3]
2004-05	590.4	8.9	183.4	115.4	238.5	53.1	407.0
			[30.1]	{28.4}	{58.6}	{13.0}	[68.9]
2005-06	713.5	9.4	225.0	138.4	294.8	55.3	488.5
			[31.5]	{28.3}	{60.3}	{11.3}	[68.5]
2006-07	847.2	9.2	333.7	132.3	309.4	71.8	513.5
			[39.4]	{25.8}	{60.3}	{14.0}	[60.6]
2007-08	1,008.1	9.5	387.9	150.7	377.4	92.1	620.2
			[38.5]	{24.3}	{60.9}	{14.9}	[61.5]
2008-09	1,161.1	8.8	443.5	148.4	451.7	117.5	717.6
			[38.2]	{20.7}	{62.9}	{16.4}	[61.8]

Structure of Federal Tax Revenues

2009-10	1,327.4	8.9	526.0	160.3	516.3	124.8	801.4
			[39.6]	{20.0}	{64.4}	{15.6}	[60.4]
2010-11	1,558.2	8.5	602.5	184.9	633.4	137.4	955.7
			[38.7]	{19.3}	{66.3}	{14.4}	[61.3]
2011-12	1,882.7	9.4	738.4	216.9	804.9	122.5	1,144.3
			[39.2]	{19.0}	{70.3}	{10.7}	[60.8]
2012-13	1,946.4	8.7	743.4	239.5	842.5	121.0	1,203.0
			[38.2]	{19.9}	{70.0}	{10.1}	[61.8]

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Pakistan Economic Survey 2014-15

Table 4.2: Structure of Federal Tax Revenue

(Rs. Billion)

Year	Total (FBR)	Tax Rev as % of GDP	Direct Taxes	Indirect Taxes			
				Customs	Sales	Excise	Total
2013-14	2,254.5	9.0	877.3	242.8	996.4	138.1	1,377.3
			[39.0]	{17.6}	{72.3}	{10.0}	[61.1]
2014-15 B.E	2,810.0*	9.7	1,180.0	281.0	1,171.0	178.0	1,630.0
			[42.0]	{17.2}	{71.8}	{10.9}	[58.0]

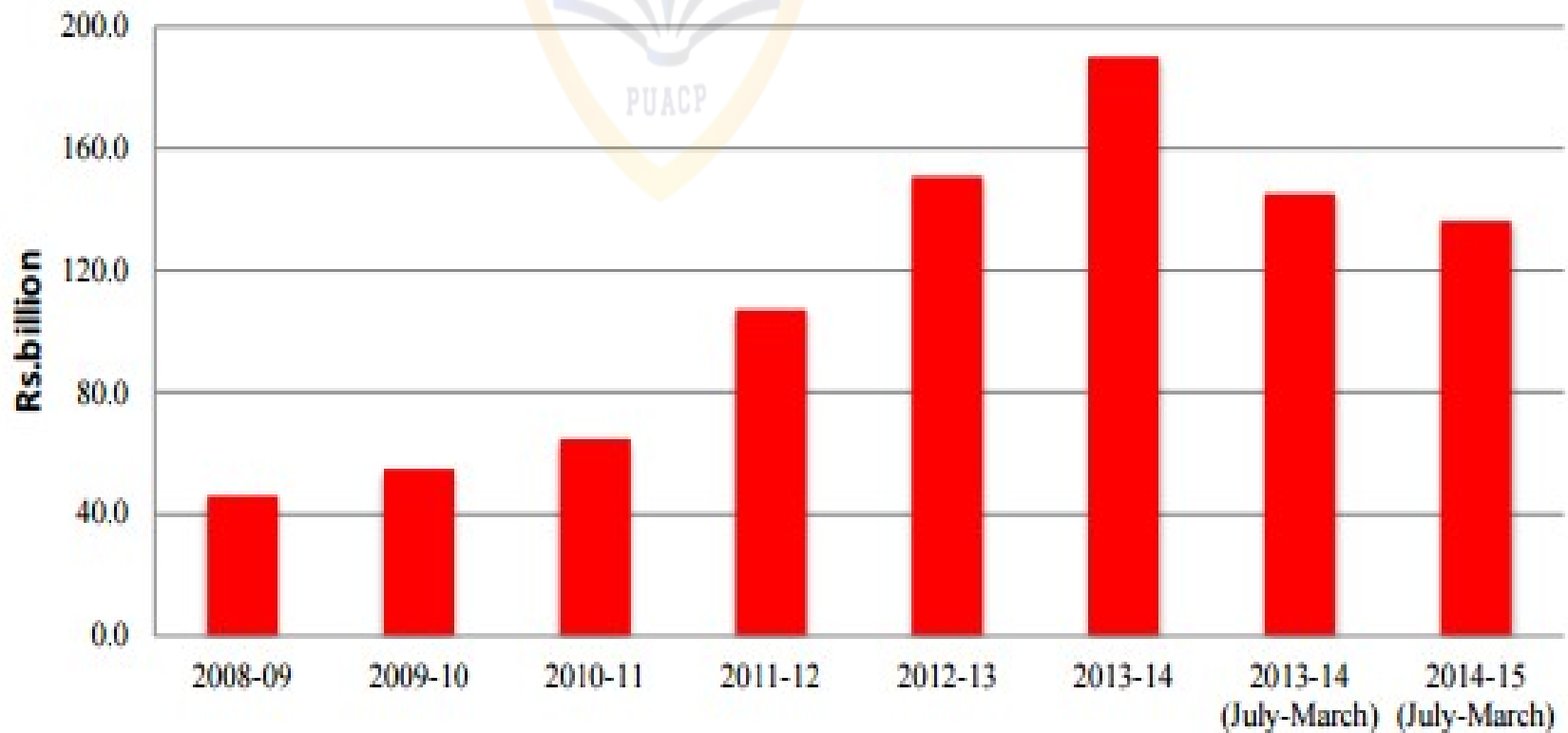
Source: Source: Federal Board of Revenue

{ } as % of indirect taxes. [] as % of total taxes

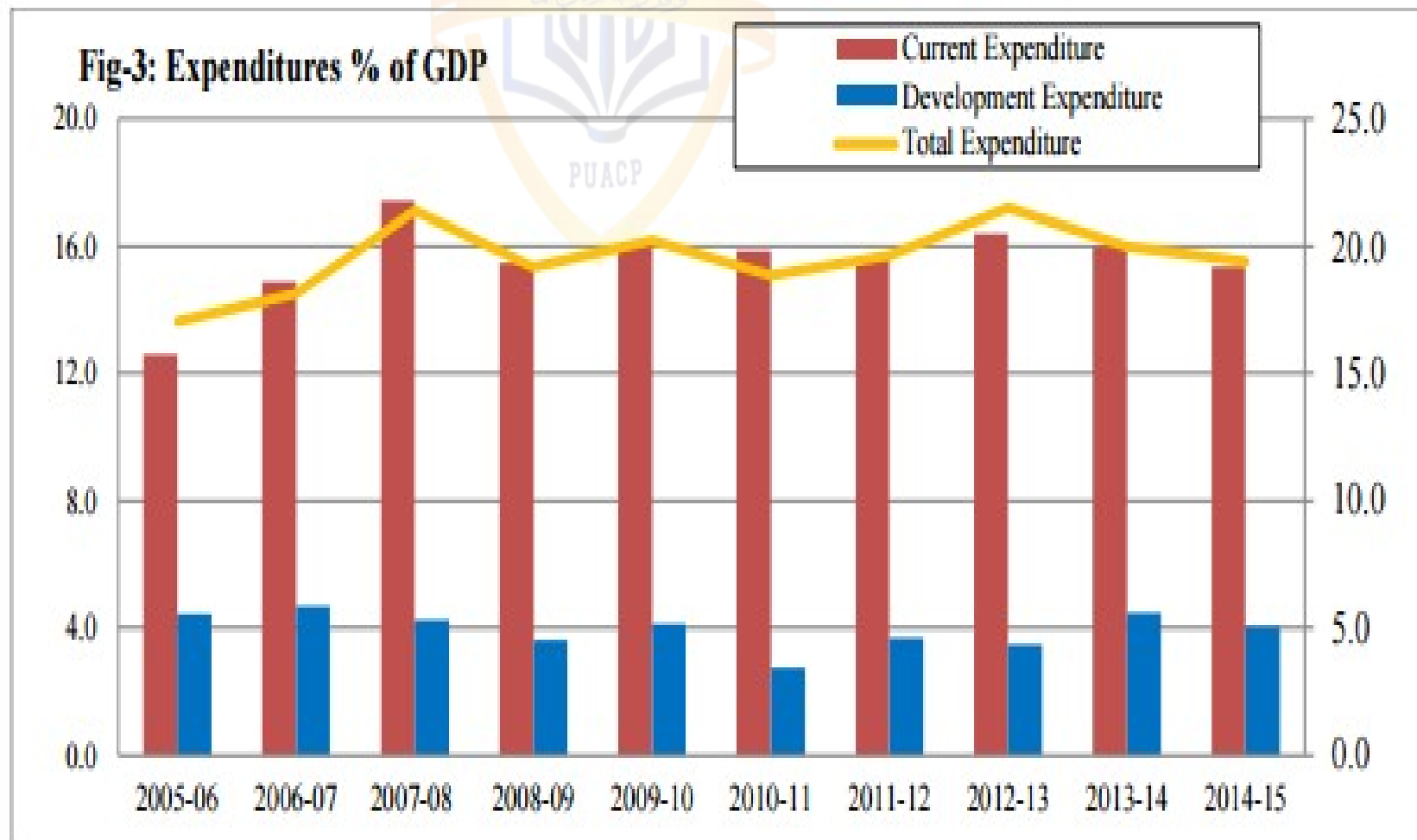
*: Target revised downward at Rs.2605 on account of losses incurred due to decline in International Oil and Commodity Prices.

Provincial Taxes

Fig-4: Provincial Taxes



Review of Expenditures



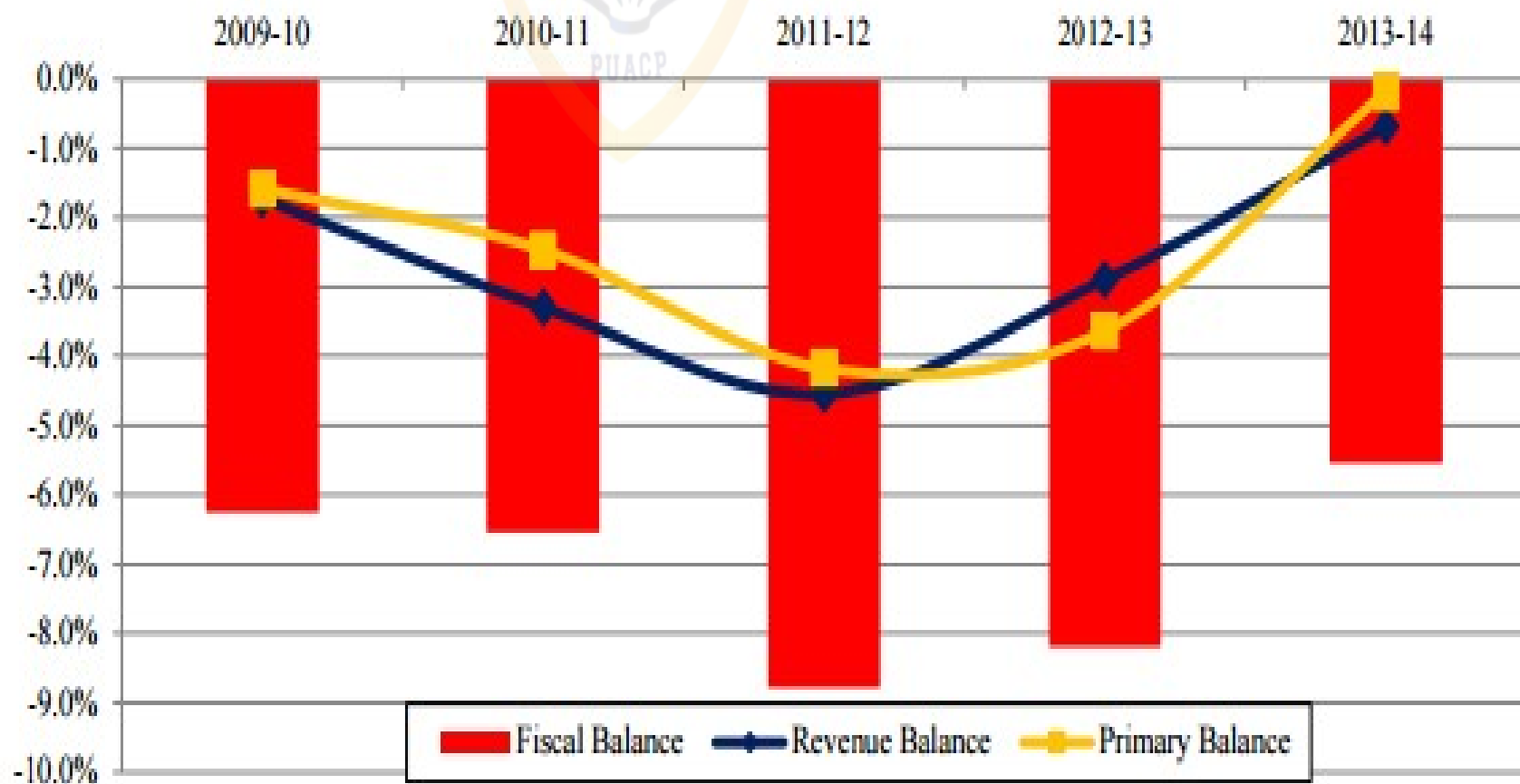
Trends in Components of Expenditures

Table 4.3: Trends in Components of Expenditure (As % of GDP)

Year	Total Expenditure (A)	Current Expenditure (B)	Interest Payments (C)	Defence (D)	Development Expenditure (E)	Non Interest Non-Defence Exp (A-C-D)	Fiscal Deficit	Revenue Deficit/ Surplus (TR-Total CE)	Primary deficit (TR-NI Exp)
2005-06	17.1	12.6	2.9	2.9	4.4	11.2	4.0	0.5	-1.1
2006-07	18.1	14.9	4.0	2.7	4.7	11.4	4.1	-0.8	-0.1
2007-08	21.4	17.4	4.6	2.6	4.2	14.2	7.3	-3.3	-2.7
2008-09	19.2	15.5	4.8	2.5	3.6	11.8	5.2	-1.4	-0.3
2009-10	20.2	16.0	4.3	2.5	4.1	13.4	6.2	-2.1	-1.9
2010-11	18.9	15.9	3.8	2.5	2.8	12.6	6.5	-3.5	-2.7
2011-12	19.6	15.6	4.4	2.5	3.7	12.7	6.8	-2.8	-2.4
2012-13	21.5	16.4	4.4	2.4	3.5	14.7	8.2	-3.0	-3.8
2013-14	20.0	16.0	4.6	2.5	4.5	13.0	5.5	-1.5	-1.0
2014-15 B.E	19.4	15.3	4.6	2.4	4.0	12.4	5.0	-0.8	-0.3

Source: Budget Wing, Finance Division and EA Wing's Calculations

**Fig-9.2: Trends in Fiscal, Revenue and Primary Balance
(In Percent of GDP)**



Public Debt

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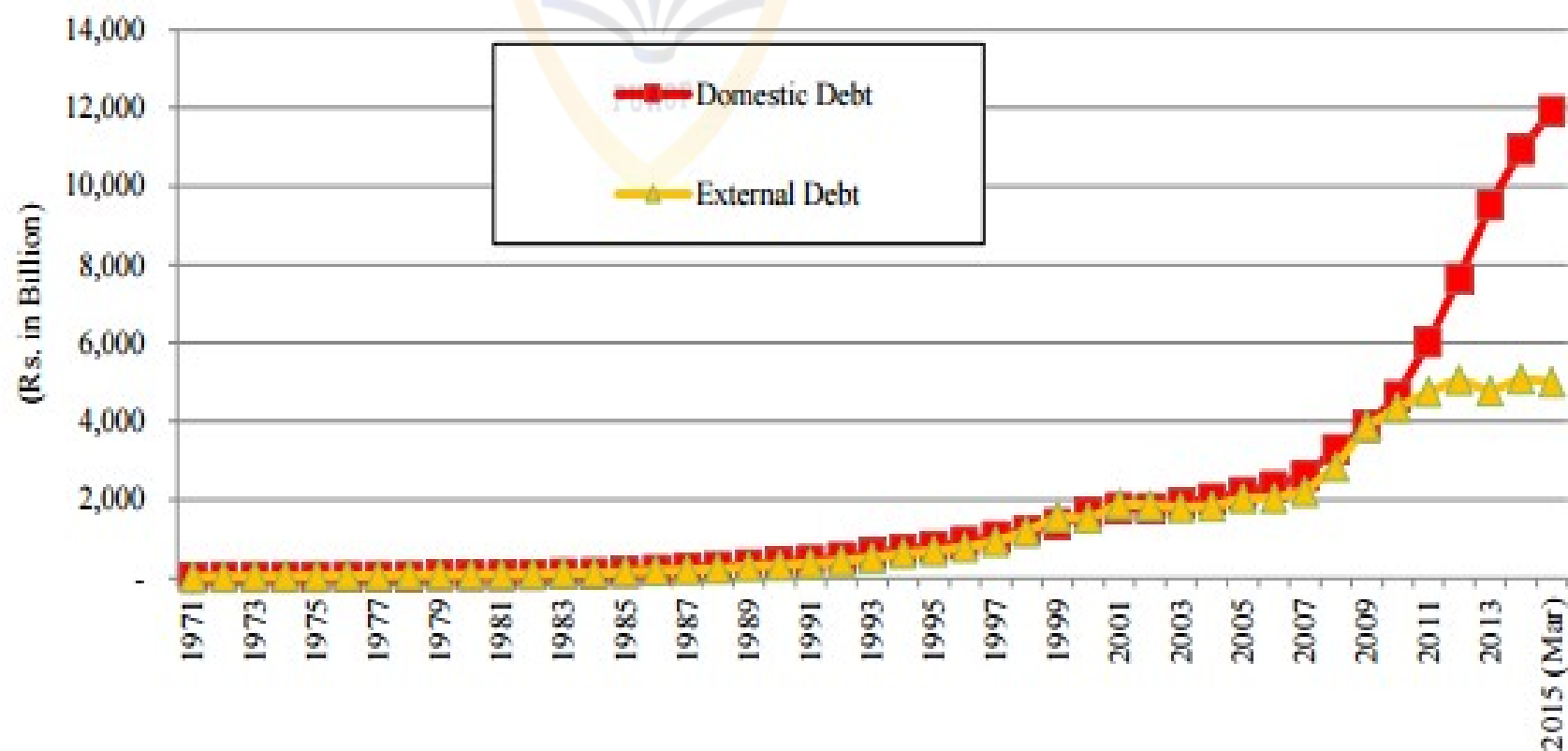
- Public debt is a measure of government indebtedness. It includes all government obligations of rupee or in foreign currency.

Two types:

- Domestic Debt
- External debt

Public Debt

Fig-9.1: Trends in Domestic and External Debt



Public Debt

Table-9.2: Public Debt

	2010	2011	2012	2013(P)	2014(P)	2015(P)*
(In percent of GDP)						
Domestic Debt	31.3	32.9	38.1	42.5	43.6	43.6
External Debt	29.3	26.0	25.2	21.3	20.3	18.3
Total Public Debt	60.6	58.9	63.3	63.9	63.8	61.8
(In percent of revenues)						
Domestic Debt	224.0	267.1	297.6	319.3	300.2	---
External Debt	209.4	210.9	197.0	160.0	139.6	---
Total Public Debt	433.4	477.9	494.7	479.2	439.8	---
(In percent of total debt)						
Domestic Debt	51.7	55.9	60.2	66.6	68.3	70.5
External Debt	48.3	44.1	39.8	33.4	31.7	29.5
Memo:						
Foreign Currency Debt (US\$ in billion)	50.9	55.3	53.5	47.9	51.4	49.1
Exchange Rate (Rs./US\$, End of Period)	85.5	86.0	94.5	99.7	98.8	101.9
GDP (Rs. in billion)	14,867	18,276	20,047	22,379	25,068	27,384
Total Revenue (Rs. in billion)	2,078	2,253	2,567	2,982	3,637	---

P:Provisional

*end-March, 2015

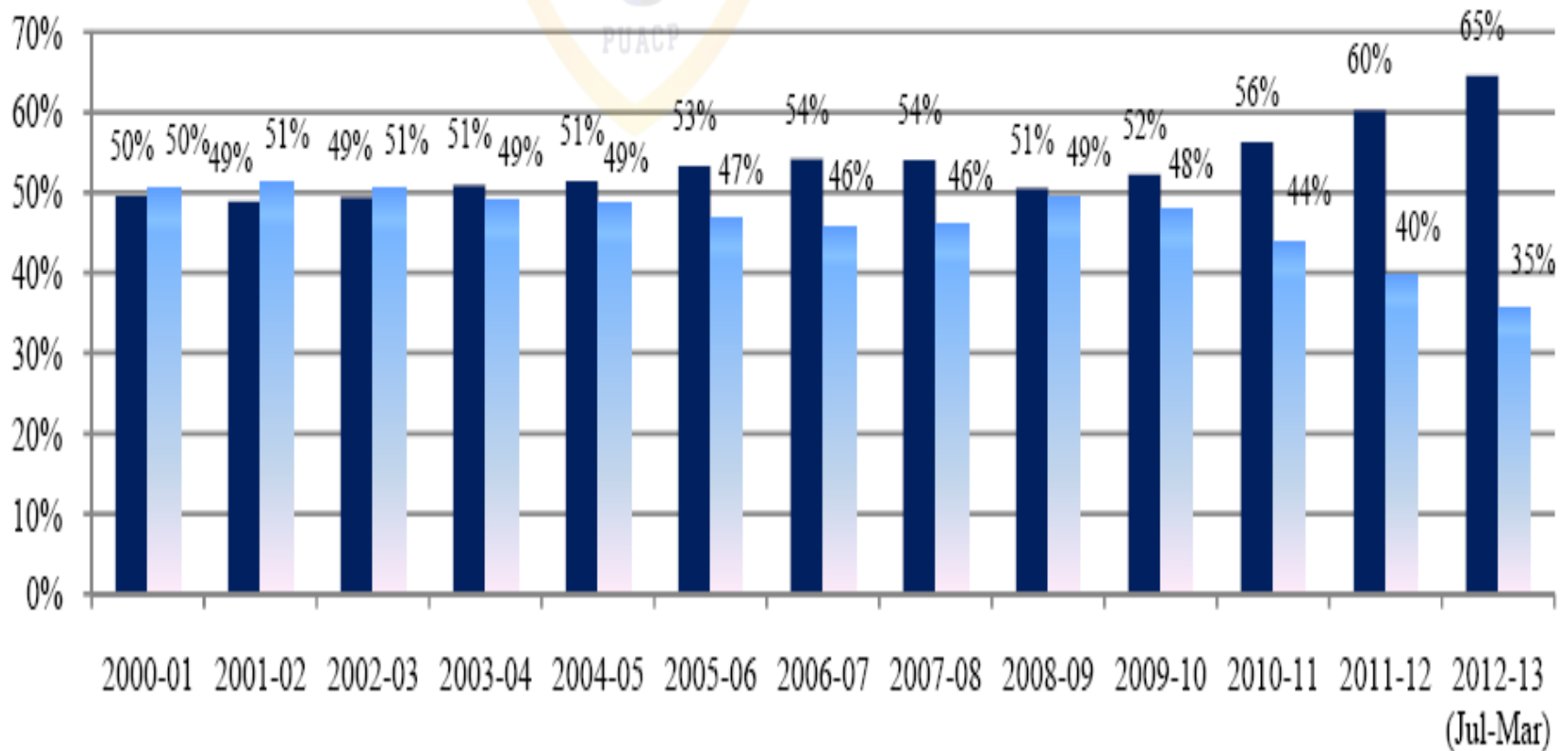
Source: State Bank of Pakistan, Economic Affairs Division, Budget Wing and Debt Policy Coordination Office
Staff Calculations

Public Debt

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Fig-9.1: Sources of Public Debt (Percent)

■ Domestic Currency Debt ■ Foreign Currency Debt



Fiscal Policy Issues in Pakistan

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High deficit because of low revenue collection which is attributed to structural problems like:

- Low tax base
- Over dependence of indirect taxes
- Among indirect taxes, dominance of trade taxes
- Effective tax base is narrow
- Tax evasion
- Poor tax administration

Causes of Tax Evasion

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- ❑ People do not want to disclose their true income
- ❑ Too many unlawful business activities such as drugs, hoarding, black money etc.
- ❑ No fear of punishment
- ❑ Complex tax structure
- ❑ Uncontrolled inflation and high cost of living
- ❑ Low level of literacy among tax payers
- ❑ Some economic sectors are exempted like agriculture, real estate etc.

Tax Reforms 2001

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Reform strategy includes:

□ Policy reforms

Includes simpler laws, universal self-assessment, elimination of exemptions, less dependence on withholding taxes and effective dispute resolution mechanism.

□ Administrative reforms

Transform income tax organization on functional lines, re-engineer manual processes of all taxes, increase effectiveness of FBR and improve skills and integrity of workforce and facilitation of tax payers.

Tax Reforms 2001

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- Organization reforms
includes re-organization of FBR and reduction in workforce

Additionally FBR is also working on:

- Human resource management
- Information management system
- Audit
- Facilitation and tax payers education
- Fiscal research and statistics

Initiatives by FBR

Box-II - Major Initiatives taken by FBR

Broadening of Tax Base

- For broadening of tax base several initiatives have been taken and some are in pipeline. Initially the objective is to incorporate 300,000 new taxpayers. In this regard, more than 171,000 notices upto February 2015 have already been issued. Similarly, a detailed plan for outreach program including provisional assessment, collection procedures, penal actions and prosecution proceedings has been chalked out and is being implemented.
- Moreover, a landmark measure to bring a larger number of tax payers into the tax net is the announced merger of the existing database of 3.6 million individuals holding the National Tax Number (NTN) with the Computerized National Identity Card (CNIC) database comprising 150 million.

Withdrawal of Exemptions/Concessions

- In order to remove distortions and discrimination in the income tax structure and to abolish unnecessary concessions a plan for withdrawal of exemptions has been chalked out.
- First tranche has been withdrawn in the Budget 2014-15 and remaining will be withdrawn phase-wise in a couple of years. The FBR has granted no new tax concessions or exemptions through statutory Regulatory Orders (SROs).

Taxpayers Facilitation

- Introduction of an e-filling process accessible to taxpayers for income tax, sales tax and excise at e-FBR portal has been ensured. Automation of systems has helped in minimizing the contact between taxpayer and tax officers and as a consequence the complaints of harassment have been reduced accordingly.

Strengthening Tax Audit

- A risk based audit has been reintroduced to accompany the self-assessment scheme and to overcome weak tax compliance. Substantial progress has been achieved for infrastructure up gradation and development with the introduction of the integrated tax management system (ITMS), which is available to all the field formations.

Human Resources Management

- Human Resources Management has been improved and major structural initiatives are being taken by FBR in its organizational reform program.

Source: FBR



Thank you

Definitions

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- A Capital value tax at the rate of 2 percent of recorded value has been levied vide Finance Act, 2006. This is applicable in urban areas for residential property exceeding an area of one kanal and in case of commercial properties without any threshold of land area or size of the property

- *excise duty*: A percentage levied on manufacture, sale, or use of locally produced goods (such as tobacco products, cars etc).
- A **sales tax** is a **tax** paid to a governing body for the **sales** of certain goods and services. Usually laws allow (or require) the seller to collect funds for the **tax** from the consumer at the point of purchase.
- *Definition of indirect tax*: Charge levied by the State on consumption, expenditure, privilege, or right but not on income or property.

- A **capital gains tax (CGT)** is a tax on capital gains, the profit realized on the sale of a non-inventory asset that was purchased at a cost amount that was lower than the amount realized on the sale. The most common capital gains are realized from the sale of stocks, bonds, precious metals and property.